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ROOMS STATISTICS

The purpose of this Standard Operating Procedure (SOP) is to standardize the reporting of Rooms Statistics.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions or exceptions.

A. AVAILABLE ROOMS

- 1) Available rooms represent the number of salable rooms or it can also be defined as total room inventory less total rooms not available for sale (total of rooms that are Seasonally Closed, Extended Closed, or used for Permanent House Use).
- 2) A salable room represents any configuration of rooms which must be sold as one unit, which include unbreakable suites. Unbreakable suites are defined as two or more rooms that cannot be sold separately. When an unbreakable suite is occupied, it is considered one salable unit and is to count as one occupied room. The room rate applied to this unit must apply to the entire suite.
- 3) Available room count may only be changed by approval from the Area President, VP of Operations Finance, and Regional Director of Revenue.

B. REVENUE OCCUPANCY

- 1) An occupied room is a room where a full day's rent is charged.
- 2) Complimentary, Owner Stays, House Use, and Day Use rooms are not considered occupied rooms and therefore do not calculate as part of the Occupancy Percentage. Not classified as complimentary rooms are rooms provided due to a trade-out arrangement, rooms provided in connection with a promotion (e.g., stay two nights, get one free), or rooms provided as part of a group contract (e.g., book 50 rooms, get one free). These rooms should be classified as one of the revenue categories (transient, group, or contract) and are considered when calculating Occupancy Percentage. Reference 'Managing the Group Block and Complimentary/Staff Reservations' and 'Inclusion of Complimentary Room Nights in Group Bookings' contained within the Revenue Management Library for reference.
- 3) If a full day's rent is billed twice during one day, the unit should be counted as one occupied room. Part day or day use rate rooms are not to be counted as occupied rooms.
Day Use rooms are sold on the basis that they will not be used overnight and are not charged a rate applicable to any segment under which the hotel offers rates (Ex: Transient, Group or Contract). Rooms that are sold into a specific rate category should be coded to the applicable segment and reported as rooms sold, not reported as Day Use. As an example, if you have airline crew rooms which check in at 7 am and check-out at 5 pm, they should be coded to the Contract rooms segment, not Day Use. If these crew rooms are resold on the same day, it is possible for the hotel in question to exceed 100% occupancy. If a guest occupies a room during the day and checks out before 6 pm, regardless of the intended use of the room and that guest receives a rate which is not a published or negotiated rate, then the room should be recorded as a Day Use room.
Similarly, early departures (the guests who check out earlier than the scheduled departure date) are not to be counted as occupied rooms.
- 4) Non-guestrooms used in emergencies for sleeping purposes and for which a charge is made (such as meeting rooms, private dining rooms, floor parlors, etc.) should not be counted as an occupied room.

C. OTHER ROOMS REVENUE & AVERAGE RATE

- 1) Other Rooms Revenue is miscellaneous revenue associated with guestrooms. This revenue is included in determining Total Rooms Revenue and is used in the calculation of average daily rate (ADR). Items associated with Other Rooms Revenue include:

- a) No-show revenue: This is revenue derived from a transient or group guest who has individually guaranteed payment to reserve a room but has failed to occupy the room. No room nights are to be recorded for a no-show. *Group attrition and cancellation and transient guest cancellation* after the cutoff date are included in Attrition Fees and Cancellation Fees on Miscellaneous Income, not Other Rooms Revenue.
 - b) Day use revenue
 - c) Early departure fees
 - d) Late check-out fees
 - e) Extra Bed / Cot / Rollaway Fees
 - f) Room upsell charges (e.g., ocean view, high floor, etc.)
 - g) Surcharges and Service Charge related to rooms: mandatory, non-discretionary charges automatically added in respect of the service or use of an amenity. Note that resort fee are not Room Service Charges and should be included in Miscellaneous Income.
- 2) Complimentary rooms are NOT to be included in ADR calculations.

D. NUMBER OF GUESTS

All guests in house are included in the total guest count including Complimentary and House Use guests and children. Day Use guests are not included in the total number of guests.

E. COMPLIMENTARY & HOUSE USE ROOMS

- 1) A Complimentary Room is a room utilized for a guest stay which is given to a guest free of charge. This may be for a variety of reasons, but all require the approval of the Operations Leader.
- 2) A House Use Room is a room that is occupied by a Team Member or a contractor working directly on behalf of the hotel. This is normally due to late shifts or other reasons, but in all cases, requires the approval of the Operations Leader. A room given free of charge to a Team Member that does not work at the specific hotel is to be treated as a complimentary room, unless the sole purpose of their visit is to work directly with the hotel, (for example a Regional Finance Director review/visit or IT assistance/support) which must be classified as a House Use Room.
- 3) No shows must be recorded as Other Rooms Revenue and under no circumstances are No Shows to be counted as an occupied room or used in any occupancy calculation.

F. OUT OF ORDER ROOMS

- 1) Out of Order Rooms are rooms that have been placed temporarily out of order and are unavailable to sell. This is primarily due to maintenance or refurbishment works.
- 2) Out of Order Rooms are not deducted from the total available room count for the purposes of the Occupancy calculation as noted above; refer Section A of this policy, unless they are out of order for a period of 6 consecutive months or more. However, for Hilton Honors calculation purposes, inventory may be adjusted with advance approval from the SVP of Operations, VP of Operations, VP of Operations Finance and VP/Senior Director of Revenue.

DEFINITIONS

TERM/ACRONYM	DEFINITION
Seasonally Closed Rooms	When all operations of a hotel are closed for a minimum of 30 consecutive days due to seasonal demand patterns, then the rooms for this period should be removed from the annual salable inventory. The hotel must be consistently closed year-to-year.

Extended Closed Rooms	Those rooms removed from salable inventory for a period of six consecutive months or more. Examples include rooms that are damaged due to a hurricane, earthquake, or fire, where there is intent to return the rooms to salable inventory.
Rooms for Permanent House Use	Those rooms removed from salable inventory for a minimum of six consecutive months for use by a hotel employee (e.g., manager's apartment).
Rooms Out-of-Order	Those rooms removed from salable inventory for a period of less than six consecutive months due to renovation or a temporary fault or problem rendering them inadequate for occupancy.
Temporary Closed Rooms	Those rooms removed from salable inventory on a discretionary basis for a period of less than six consecutive months.
Day Use	This is revenue derived from sources such as rooms used for hospitality suites, dressing rooms, employment interviews, movie auditions, and wholesale distributors (for example, clothing, toys, other merchandise). No Food and Beverage services should be included.
Average Daily Rate	Although room rates may vary seasonally, by market segment, or by room type within a property, most lodging properties calculate an overall average room rate, referred to as the average daily rate (ADR). The ADR reveals the average rate charged per sold room and is calculated by dividing total rooms revenue for a period by the number of rooms sold during that period. Rooms sold includes rooms sold on a paid basis, as well as rooms sold without charge in connection with a promotion or contract.